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Strategic Order Flow Trading



Module 4
Order Flow Shifts

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There are different ways to understand shifts using order flow.

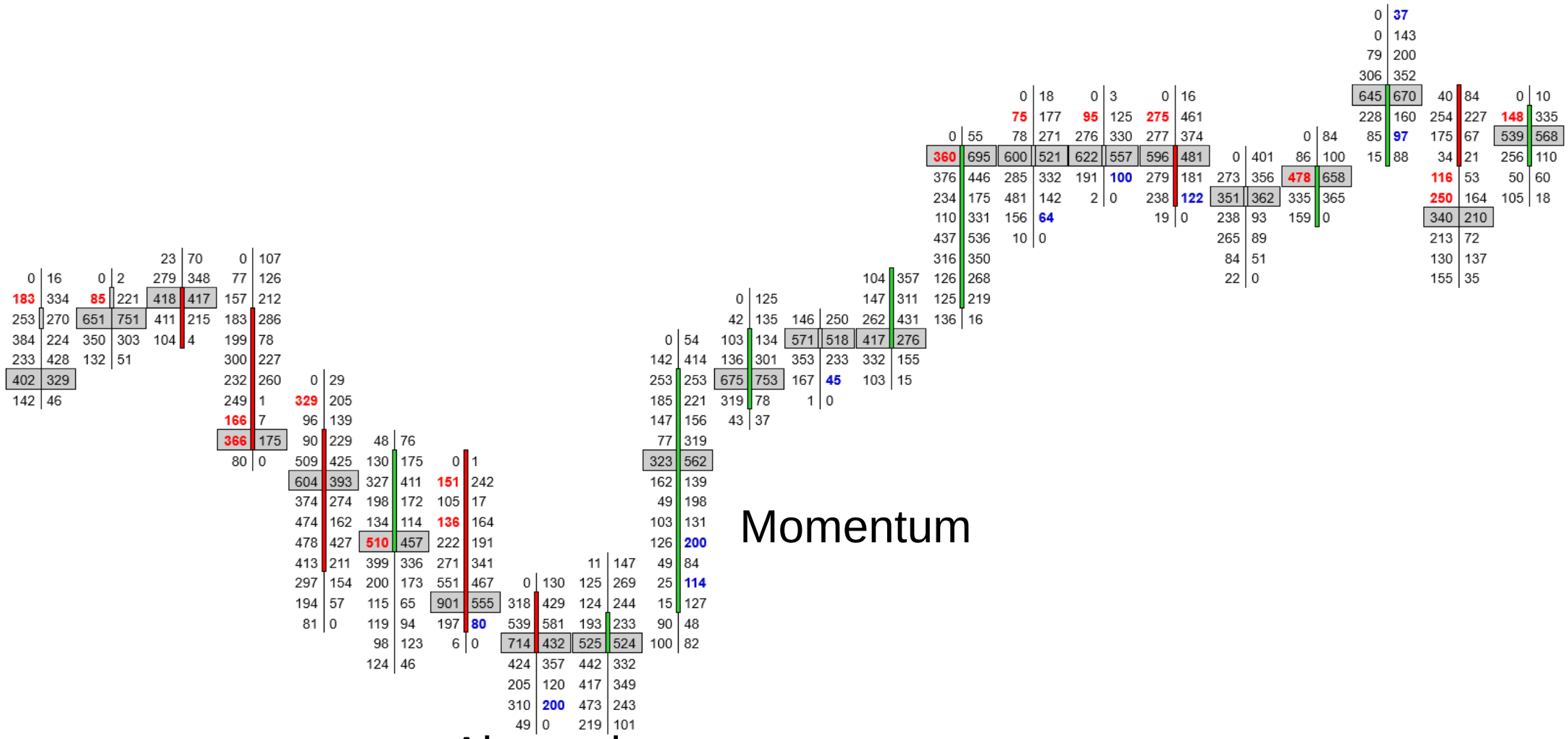
Basically, we are looking for shifts in the type of trading taking place.

Absorption patterns occur when increased buying or selling pressure is fully absorbed by the market, indicating a potential exhaustion of the prior trend. For example, heavy volume on a breakout that immediately reverses reflects absorption of the breakout momentum.

After absorption look for opposite momentum. If there is no opposite momentum it was most likely consolidation.

Order Flows Trader (ES 09-23 (1 Minute))
7/14/2023 09:43:00 - 7/14/2023 10:04:00

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Delta	50	110	-181	-530	-1234	-160	-482	-310	-87	1256	245	-192	180	871	-160	-71	-49	119	149	389	-637	3
Max. Delta	173	110	124	224	52	74	149	16	473	1525	275	47	229	1029	86	107	225	254	227	682	28	93
Min. Delta	-206	-123	-182	-545	-1417	-321	-487	-609	-264	-49	-92	-306	-61	-7	-281	-98	-117	-235	-112	0	-685	-208
Cum. Delta	-7045	-6935	-7116	-7646	-8880	-9040	-9522	-9832	-9919	-8663	-8418	-8610	-8430	-7559	-7719	-7790	-7839	-7720	-7571	-7182	-7819	-7816
Delta / Volume	1.54%	4.32%	-7.91%	-15.19%	-18.57%	-3.45%	-10.48%	-6.45%	-1.75%	25.38%	8.50%	-8.41%	6.19%	16.40%	-4.98%	-3.09%	-1.48%	4.60%	6.58%	12.53%	-22.94%	0.14%
Volume	3244	2546	2289	3488	6644	4644	4598	4808	4971	4948	2881	2284	2910	5311	3210	2301	3319	2585	2265	3105	2777	2199

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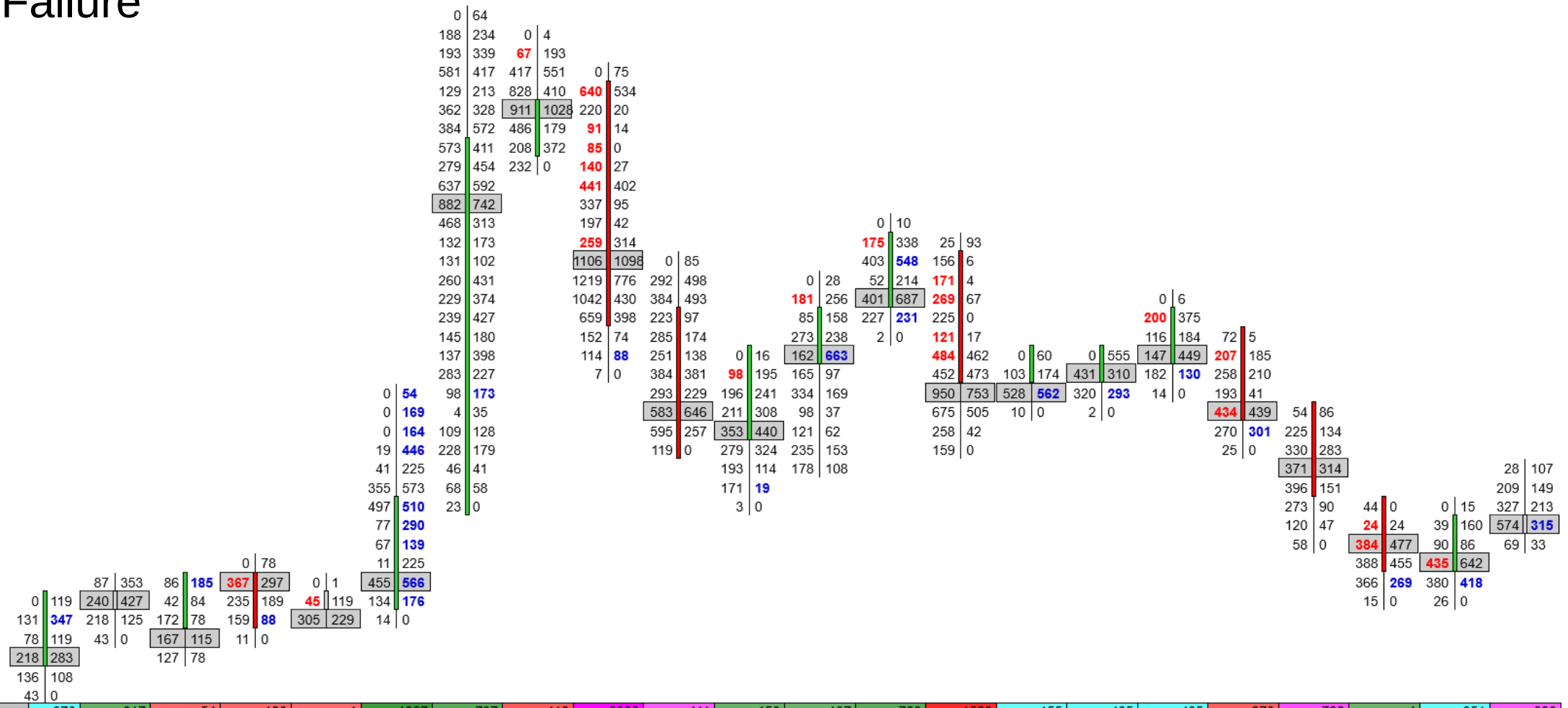
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Breakout failures happen when prices break above or below a key support/resistance level but then stall and retrace back. The failure to continue the momentum indicates the market has insufficient energy to sustain the breakout.

Order Flows Trader (ES 09-23 (1 Minute))
7/17/2023 14:14:00 - 7/17/2023 14:35:00

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Failure



Delta	370	317	-54	-120	-1	1867	797	-412	-2322	-411	153	137	768	-1523	155	405	485	-278	-722	4	351	-390
Max. Delta	370	507	0	78	44	2110	1460	220	76	539	185	361	834	88	155	418	494	0	11	43	363	97
Min. Delta	-55	0	-321	-140	-35	0	-106	-458	-2372	-414	-250	-251	-149	-1708	-40	-117	-66	-493	-724	-251	-112	-406
Cum. Delta	84	401	347	227	226	2093	2890	2478	156	-255	-102	35	803	-720	-565	-160	325	47	-675	-671	-320	-710
Delta / Volume	23.39%	21.23%	-4.76%	-8.43%	-0.14%	35.86%	5.53%	-7.00%	-20.93%	-6.41%	4.84%	3.60%	23.36%	-23.92%	10.79%	21.19%	26.90%	-10.53%	-24.62%	0.16%	15.32%	-19.27%
Volume	1582	1493	1134	1424	699	5207	14.41k	5886	11.1k	6407	3161	3801	3288	6367	1437	1911	1803	2640	2932	2446	2291	2024

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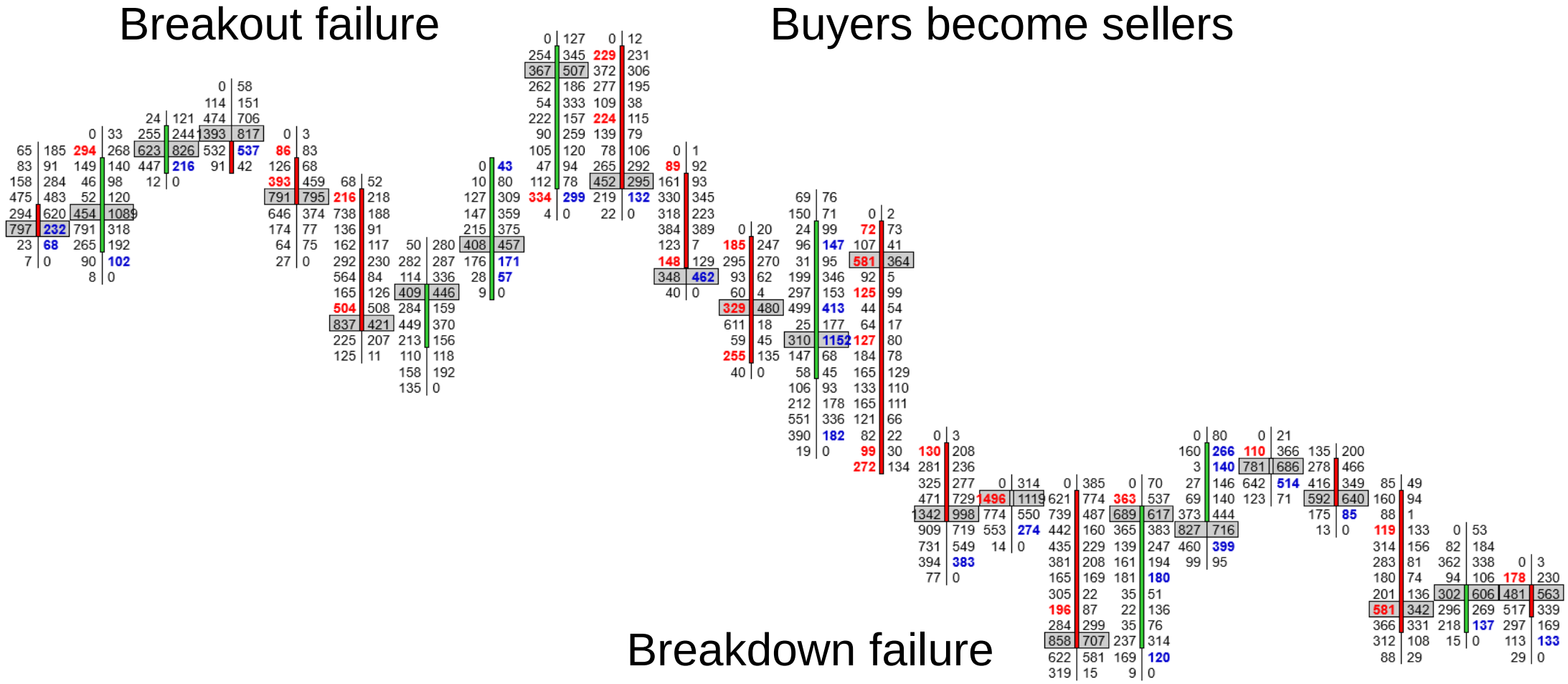
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One- or two-bar reversal patterns with heavy volume show an abrupt shift in sentiment where buyers become sellers, or vice versa. The higher the reversal bar's volume, the more significant the momentum change.

Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 08:52:00 - 7/11/2023 09:15:00

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Delta	61	211	46	-293	-373	-1779	140	731	654	-585	-200	-646	448	-1018	-558	-580	-1244	520	408	2	131	-1243	324	-178
Max. Delta	349	372	161	251	46	0	175	731	655	0	22	49	589	4	67	28	369	675	459	53	208	10	555	89
Min. Delta	-353	-218	-11	-410	-612	-1785	-272	-9	-127	-672	-384	-646	-612	-1050	-949	-644	-1437	-150	-236	-167	-176	-1333	-61	-199
Cum. Delta	747	958	1004	711	338	-1441	-1301	-570	84	-501	-701	-1347	-899	-1917	-2475	-3055	-4299	-3779	-3371	-3369	-3238	-4481	-4157	-4335
Delta / Volume	58%	4.68%	1.66%	-5.96%	-8.80%	-28.31%	3.08%	24.60%	15.01%	-13.97%	-5.43%	-20.14%	6.57%	-26.46%	-6.37%	-11.39%	-13.11%	9.76%	9.18%	0.06%	3.91%	-28.83%	10.58%	-5.83%
Volume	3865	4509	2768	4915	4241	6285	4548	2971	4356	4187	3682	3208	6814	3848	8762	5094	9490	5330	4444	3314	3349	4311	3062	3052

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Order Flows Trader (ES 09-23 (1 Minute))
7/17/2023 14:14:00 - 7/17/2023 14:35:00

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3 bar reversal

Aggressive buyers became aggressive sellers



Delta	370	317	-54	-120	-1	1867	797	-412	-2322	-411	153	137	768	-1523	155	405	485	-278	-722	4	351	-390
Max. Delta	370	507	0	78	44	2110	1460	220	76	539	185	361	834	88	155	418	494	0	11	43	363	97
Min. Delta	-55	0	-321	-140	-35	0	-106	-458	-2372	-414	-250	-251	-149	-1708	-40	-117	-66	-493	-724	-251	-112	-406
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Delta / Volume	23.39%	21.23%	-4.76%	-8.43%	-0.14%	35.86%	5.53%	-7.00%	-20.93%	-6.41%	4.84%	3.60%	23.36%	-23.92%	10.79%	21.19%	26.90%	-10.53%	-24.62%	0.16%	15.32%	-19.27%
Volume	1582	1493	1134	1424	699	5207	14.41k	5886	11.1k	6407	3161	3801	3288	6367	1437	1911	1803	2640	2932	2446	2291	2024

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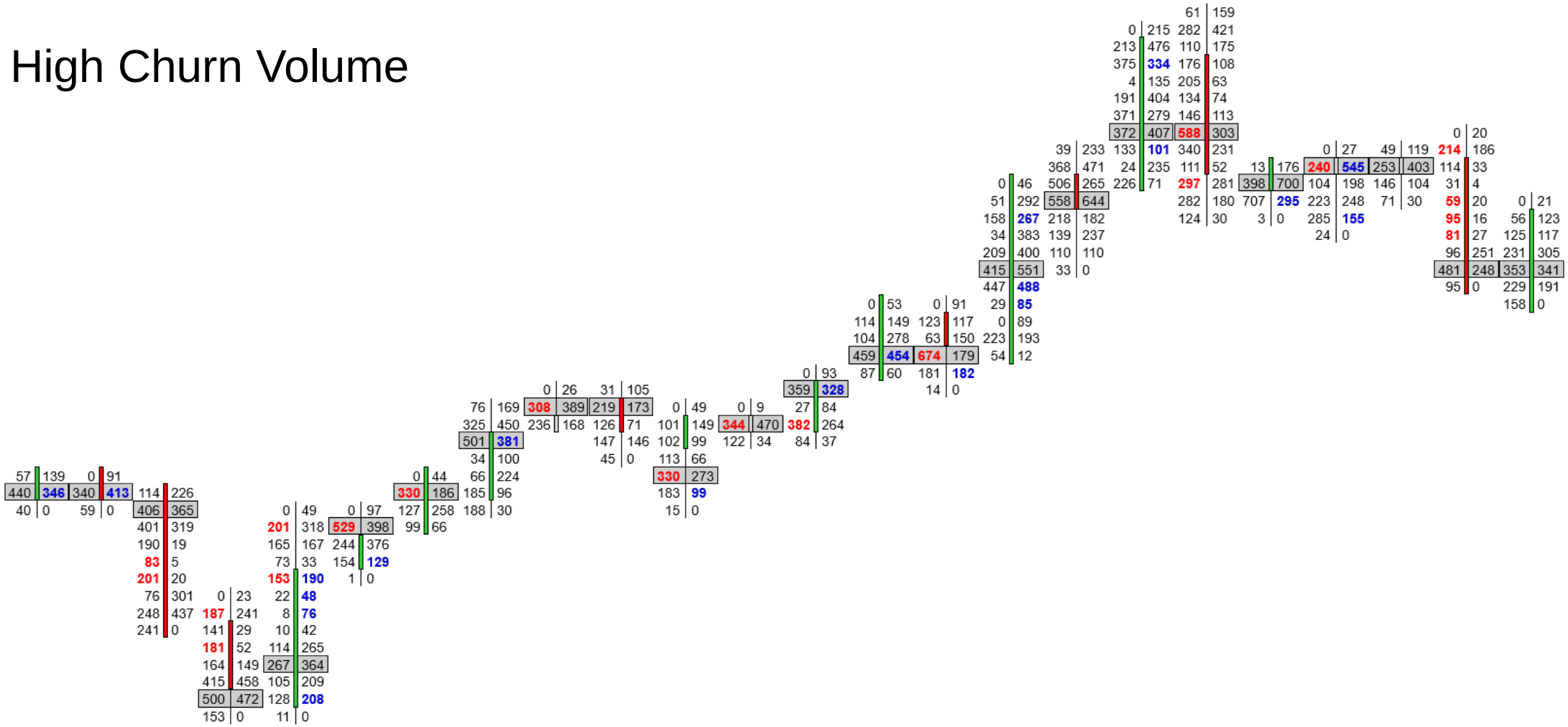
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High volume churn highlights the transition between supply/demand. High activity signals the struggle between bulls and bears at key decision points.

Order Flows Trader (ES 09-23 (1 Minute))
7/18/2023 13:59:00 - 7/18/2023 14:22:00

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High Churn Volume



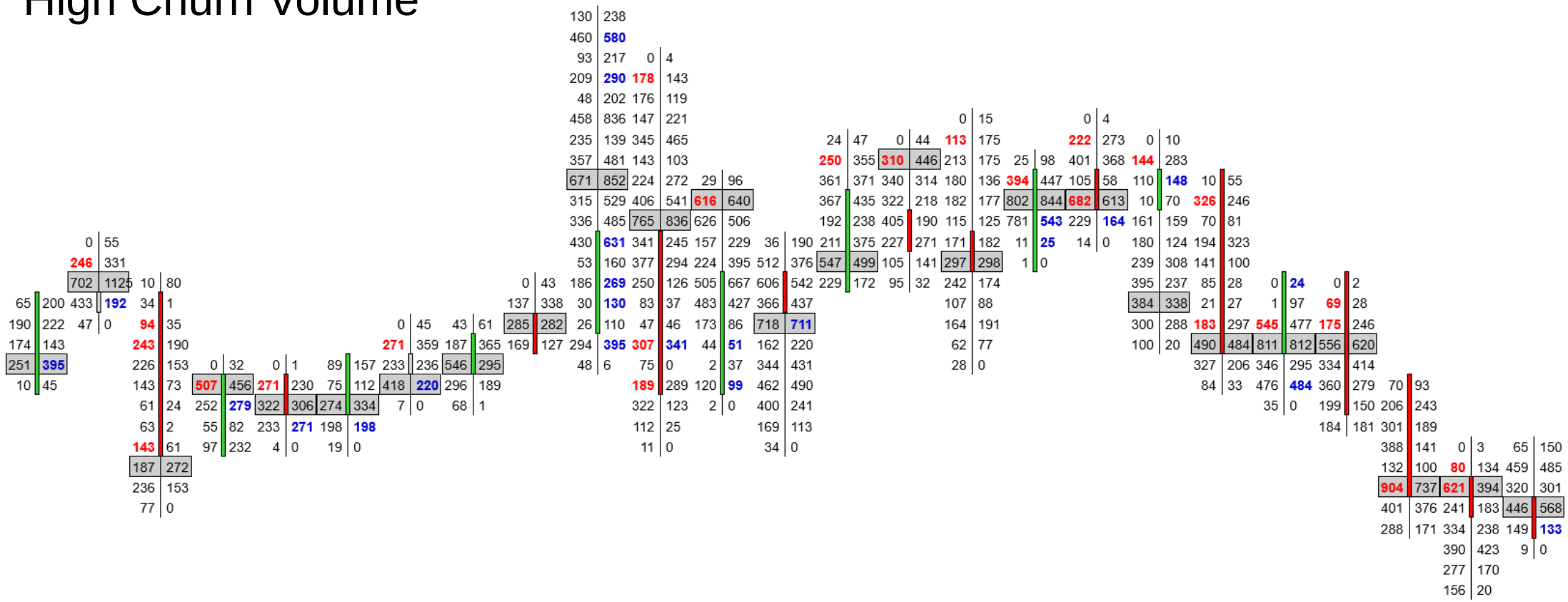
Delta	-52	105	-268	-317	712	72	-2	75	39	-73	-109	47	-46	230	-336	1186	171	748	-666	50	297	137	-461	-54
Max. Delta	164	142	134	29	1055	183	149	449	214	88	0	47	43	294	118	1200	317	780	270	96	326	175	55	94
Min. Delta	-53	-68	-583	-502	-3	-65	-22	-229	0	-143	-355	-80	-164	-25	-338	-92	-164	-91	-848	-235	-7	0	-484	-204
Cum. Delta	2114	2219	1951	1634	2346	2418	2416	2491	2530	2457	2348	2395	2349	2579	2243	3429	3600	4348	3682	3732	4029	4166	3705	3651
Delta / Volume	09%	11.63%	-7.34%	-10.02%	22.07%	3.73%	-0.18%	2.65%	3.46%	-6.87%	-6.90%	4.80%	-2.77%	13.08%	-18.94%	26.80%	4.16%	16.38%	-13.20%	2.18%	14.49%	11.66%	-22.26%	-2.40%
Volume	1022	903	3652	3165	3226	1928	1110	2825	1127	1063	1579	979	1658	1758	1774	4426	4113	4566	5046	2292	2049	1175	2071	2250

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Order Flows Trader (ES 09-23 (1 Minute))
7/19/2023 10:55:00 - 7/19/2023 11:19:00

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High Churn Volume



Delta	15	275	-473	170	-22	146	-69	-229	199	2171	-268	252	-58	311	-148	-61	-57	-173	-38	-51	-25	43	-640	-534	189
Max. Delta	95	585	68	226	0	202	205	47	259	2476	360	465	140	420	90	170	51	97	34	70	80	149	47	28	295
Min. Delta	0	0	-579	0	-151	-61	-136	-359	-35	-95	-319	-20	-548	-17	-253	-192	-241	-175	-342	-231	-371	-133	-683	-592	0
Cum. Delta	65	8140	7667	7837	7815	7961	7892	7663	7862	10.03k	9765	10.02k	9959	10.27k	10.12k	10.06k	10k	9831	9793	9742	9717	9760	9120	8586	8775
Delta / Volume	%	8.78%	-18.47%	8.53%	-1.34%	10.03%	-3.86%	-11.17%	14.41%	19.86%	-3.07%	4.06%	-0.77%	6.66%	-4.28%	-1.65%	-1.44%	-5.52%	-0.95%	-1.34%	-0.57%	1.13%	-13.50%	-14.57%	6.13%
Volume	95	3131	2561	1992	1638	1456	1789	2051	1381	10.93k	8728	6214	7560	4673	3460	3687	3971	3133	4008	3811	4403	3797	4740	3664	3085

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Trading ranges develop when there is relatively balanced supply and demand present in the market. This pushes prices into a horizontal consolidating pattern between support and resistance.

For prices to break out of the established range, either buying or selling pressure must overwhelm the other side and absorb all liquidity at the range boundaries.

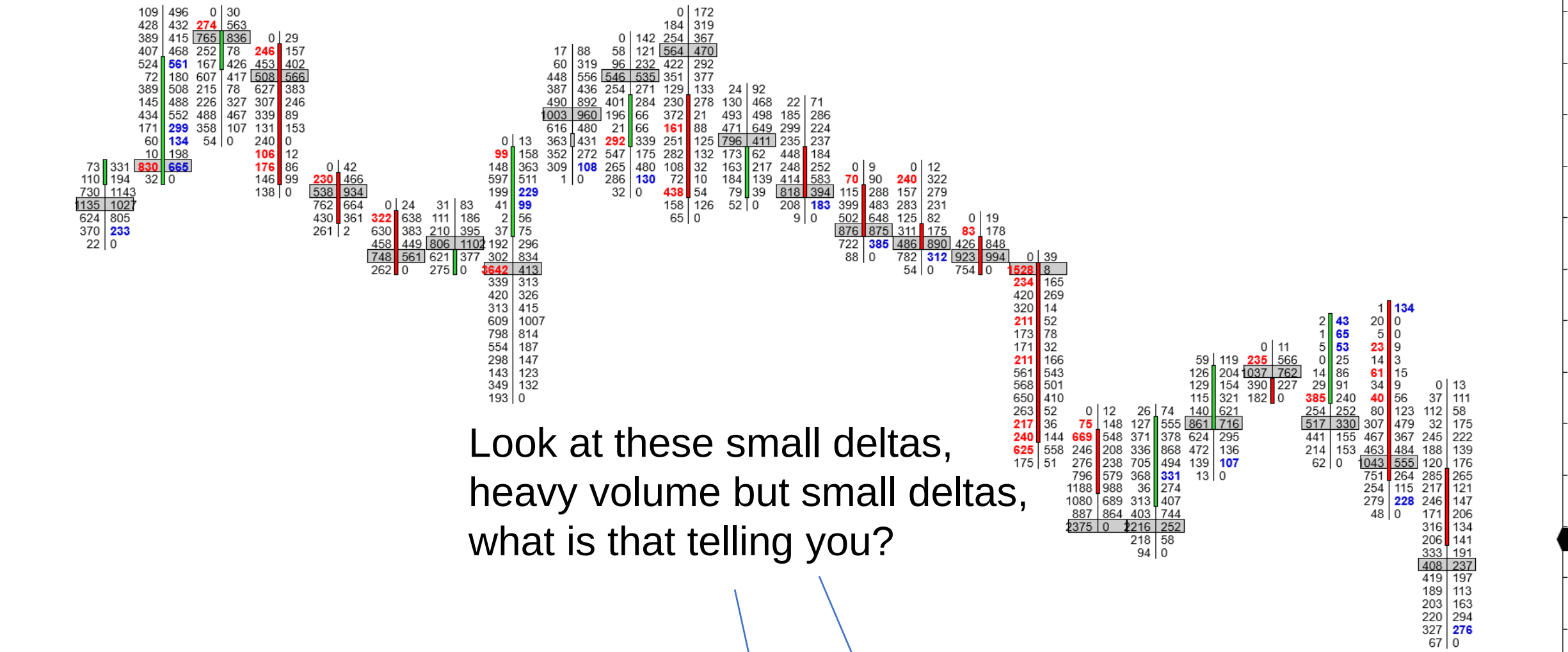
Breakouts require committed directional interest from either bulls or bears to push through support and resistance levels that had contained previous impulses.

The initial traders fueling the breakout display conviction in their buying or selling, evidenced by their willingness to accept risk beyond known areas of liquidity.

Order Flows Trader (ES 09-23 (1 Minute))

7/6/2023 08:39:00 - 7/6/2023 09:02:00

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Delta	69	1396	-77	-1195	248	-365	89	-2764	496	-153	-1045	10	-472	6	-135	-147	-3449	-3318	-778	-5	-278	-431	-1049	-962
Max. Delta	69	1767	45	0	387	4	193	28	699	203	365	277	84	305	195	394	0	66	120	70	144	0	127	351
Min. Delta	01	-148	-497	-1247	-64	-424	-167	-3833	-233	-468	-1110	-131	-673	-456	-291	-334	-3471	-3465	-2033	-584	-279	-762	-1115	-1391
Cum. Delta	8k	-18.28k	-18.36k	-19.55k	-19.3k	-19.67k	-19.58k	-22.34k	-21.85k	-22k	-23.05k	-23.04k	-23.51k	-23.5k	-23.64k	-23.78k	-27.23k	-30.55k	-31.33k	-31.33k	-31.61k	-32.04k	-33.09k	-34.05k
Delta / Volume	%	14.86%	-1.14%	-21.19%	5.29%	-8.16%	2.12%	-17.51%	5.78%	-2.62%	-14.85%	0.19%	-8.91%	0.11%	-2.85%	-3.48%	-35.61%	-27.96%	-8.06%	-0.09%	-8.15%	-12.61%	-15.58%	-12.46%
Volume	97	9396	6735	5639	4690	4475	4197	15.79k	8588	5835	7037	5140	5300	5550	4741	4225	9685	11.87k	9648	5351	3410	3417	6731	7720

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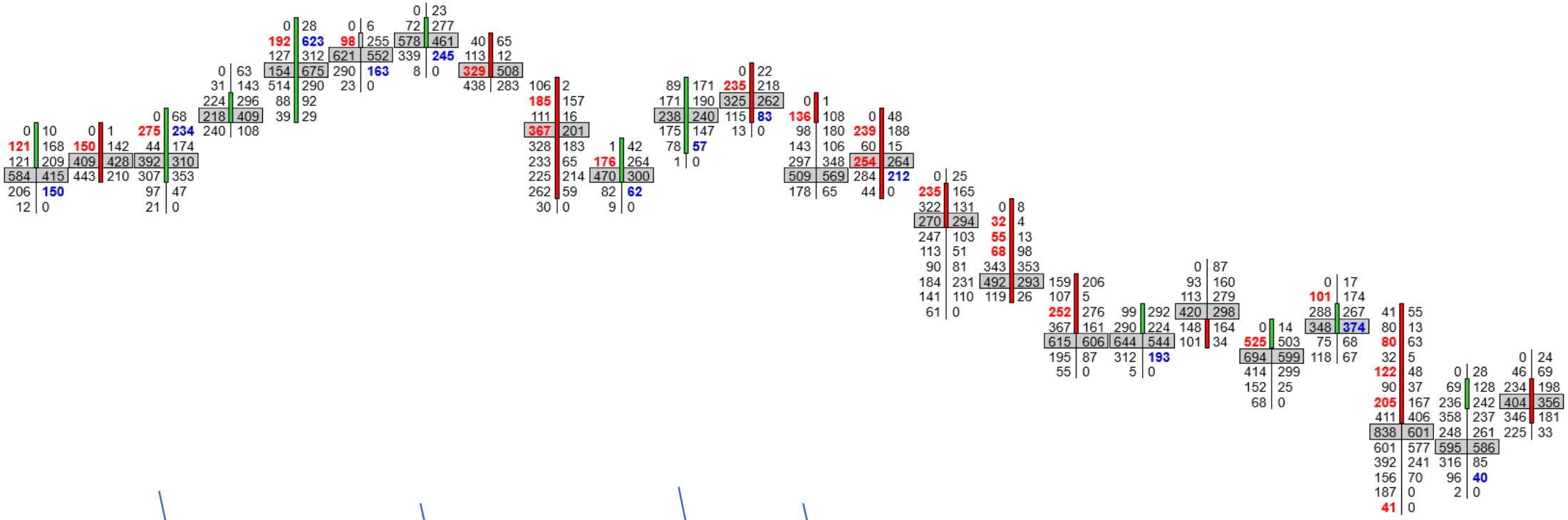
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Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 10:14:00 - 7/12/2023 10:37:00

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When you do get positive delta, is it strong positive delta?



Delta	92	-221	50	306	935	-56	9	-52	-950	-70	53	-103	16	-154	-472	-314	-409	-97	147	-413	37	-993	-313	-394
Max. Delta	22	9	147	309	935	68	59	20	0	48	213	8	65	23	0	7	44	39	246	0	221	35	35	32
Min. Delta	03	-248	-136	-37	-23	-94	-191	-297	-950	-141	-15	-177	-311	-247	-786	-323	-500	-220	-106	-500	-46	-1174	-515	-413
Cum. Delta	35	4264	4314	4620	5555	5499	5508	5456	4506	4436	4489	4386	4402	4248	3776	3462	3053	2956	3103	2690	2727	1734	1421	1027
Delta / Volume	%	-12.39%	2.15%	17.67%	29.56%	-2.79%	0.45%	-2.91%	-34.62%	-4.98%	3.40%	-8.09%	0.58%	-9.58%	-16.54%	-16.49%	-13.23%	-3.73%	7.75%	-12.54%	1.95%	-17.86%	-8.87%	-18.62%
Volume	96	1783	2322	1732	3163	2008	2003	1788	2744	1406	1557	1273	2738	1608	2854	1904	3091	2603	1897	3293	1897	5559	3527	2116

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10:15 10:20 10:25 10:30 10:35

By studying current order flow, price action, volume, volatility, and sentiment gauges, traders can assess the present balance of supply and demand forces. This allows you to determine high-probability setups. Skilled traders react to what the market is doing in the present moment rather than attempting to guess what may happen next.

Rather than predictions, skilled traders think in terms of potential scenarios and risk/reward propositions.

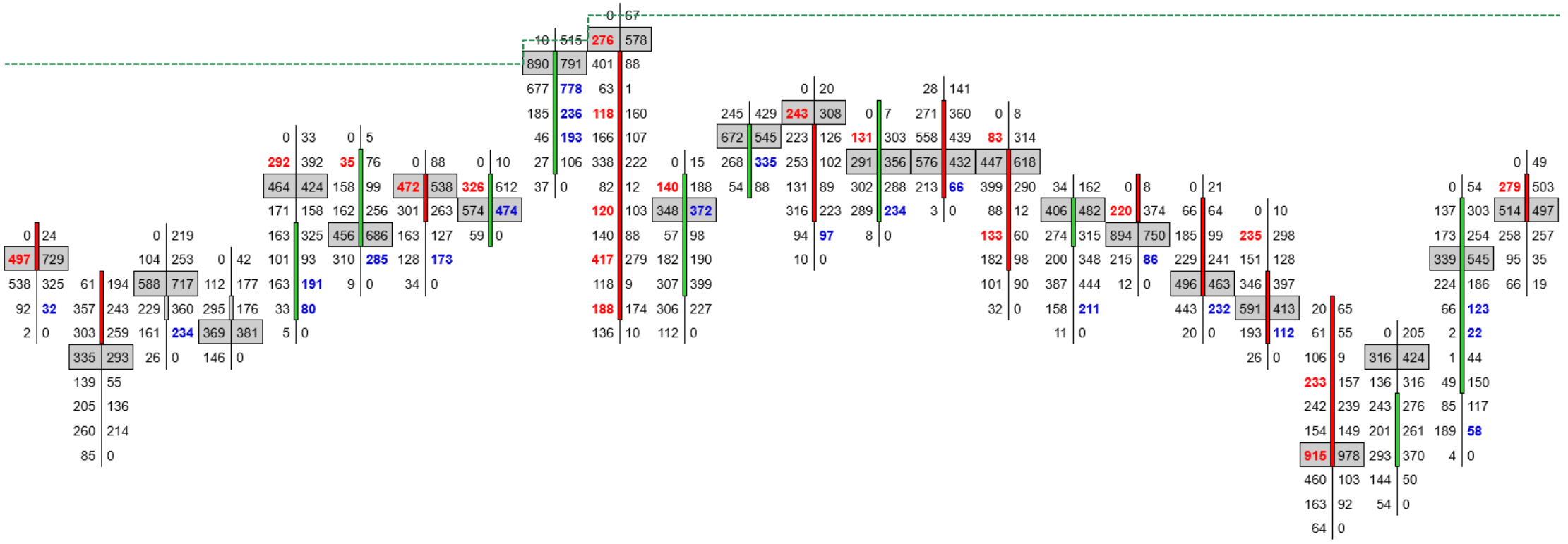
Adapting to changing conditions and probabilities is more reliable than rigid predictions. As new information emerges, the trader must update their market interpretation.

Let’s get back to breakouts and breakdowns. Volume context separates the potential climactic breakouts from fake outs. By carefully evaluating the volume dynamics, we can better anticipate if range expansion has the legs to sustain. But not just volume on the surface. Look inside the bar at delta and imbalances.

Order Flows Trader (ES 09-23 (1 Minute)), Current day OHL(ES 09-23 (1 Minute))
7/13/2023 08:47:00 - 7/13/2023 09:10:00

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Failed breakout. But, but there are buying imbalances and positive delta and an increase in volume…



Delta	-351	675	-146	304	277	91	137	747	-665	37	158	-305	167	-211	25	492	-123	-319	-184	-571	515	587	148
Max. Delta	37	699	0	547	405	91	219	876	291	96	280	69	169	108	388	514	2	46	180	52	657	614	199
Min. Delta	-503	-32	-164	0	-29	-132	-74	-19	-685	-217	0	-421	-120	-211	-80	-96	-264	-399	-233	-687	-130	-172	-53
Cum. Delta	15.72k	16.39k	16.25k	16.55k	16.83k	16.92k	17.06k	17.8k	17.14k	17.18k	17.33k	17.03k	17.2k	16.98k	17.01k	17.5k	17.38k	17.06k	16.88k	16.3k	16.82k	17.41k	17.55k
Delta / Volume	-11.18%	23.35%	-8.60%	9.84%	10.92%	3.98%	6.67%	16.63%	-14.91%	1.26%	5.99%	-13.65%	7.56%	-6.84%	0.85%	14.34%	-4.81%	-12.47%	-6.34%	-13.39%	15.66%	18.78%	5.75%
Volume	3139	2891	1698	3088	2537	2287	2055	4491	4461	2941	2636	2235	2209	3087	2955	3432	2559	2559	2900	4265	3289	3125	2572

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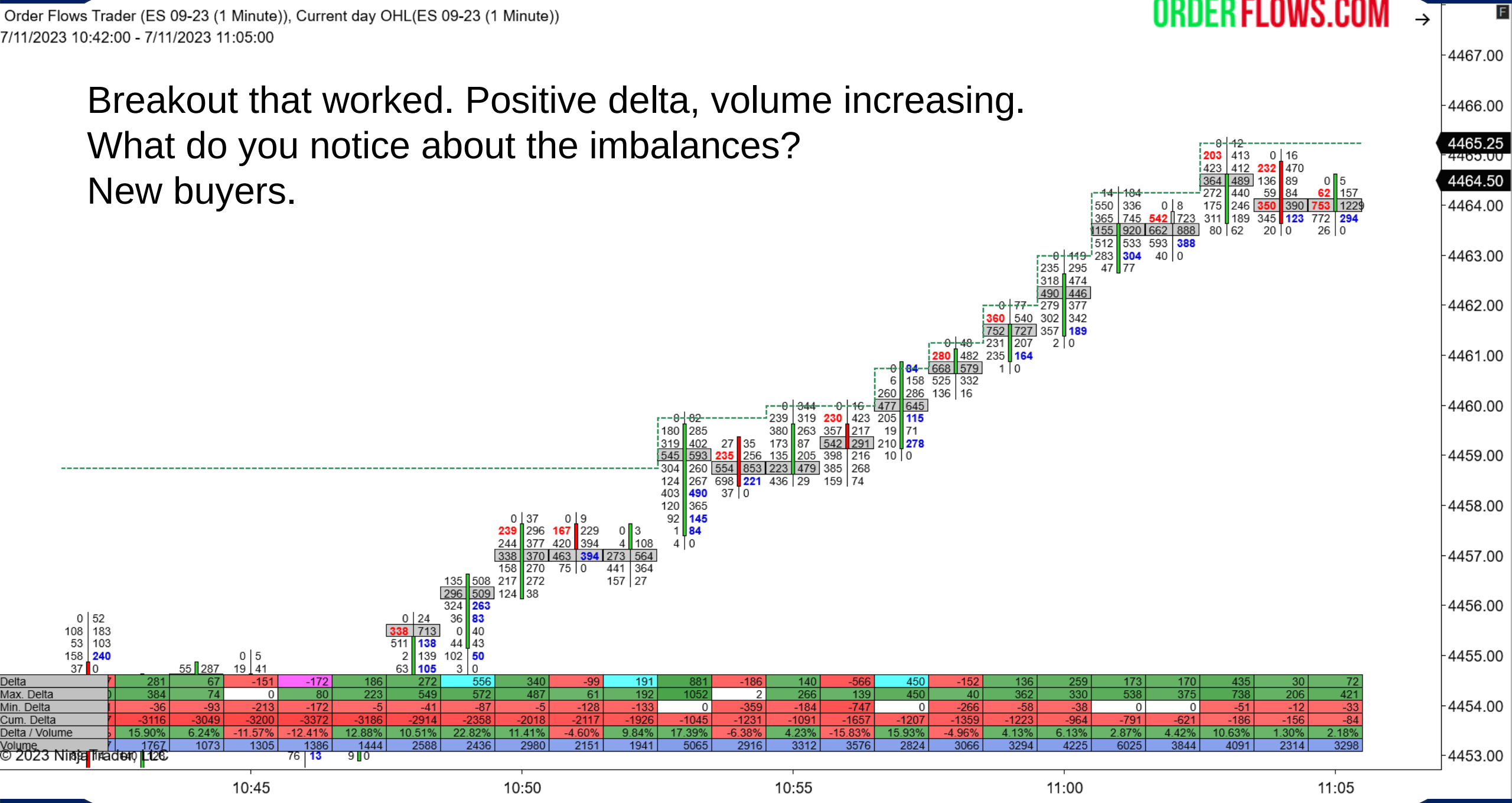
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Order Flows Trader (ES 09-23 (1 Minute)), Current day OHL(ES 09-23 (1 Minute))
7/11/2023 10:42:00 - 7/11/2023 11:05:00

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Breakout that worked. Positive delta, volume increasing.
What do you notice about the imbalances?
New buyers.



Delta	281	67	-151	-172	186	272	556	340	-99	191	881	-186	140	-566	450	-152	136	259	173	170	435	30	72
Max. Delta	384	74	0	80	223	549	572	487	61	192	1052	2	266	139	450	40	362	330	538	375	738	206	421
Min. Delta	-36	-93	-213	-172	-5	-41	-87	-5	-128	-133	0	-359	-184	-747	0	-266	-58	-38	0	0	-51	-12	-33
Cum. Delta	-3116	-3049	-3200	-3372	-3186	-2914	-2358	-2018	-2117	-1926	-1045	-1231	-1091	-1657	-1207	-1359	-1223	-964	-791	-621	-186	-156	-84
Delta / Volume	15.90%	6.24%	-11.57%	-12.41%	12.88%	10.51%	22.82%	11.41%	-4.60%	9.84%	17.39%	-6.38%	4.23%	-15.83%	15.93%	-4.96%	4.13%	6.13%	2.87%	4.42%	10.63%	1.30%	2.18%
Volume	1767	1073	1305	1386	1444	2588	2436	2980	2151	1941	5065	2916	3312	3576	2824	3066	3294	4225	6025	3844	4091	2314	3298

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Further gains beyond a breakout involve additional market participants, new traders, piling into the emerging momentum trade beyond the initial traders that enabled the range break. If the initial momentum stalls and prices retreat back into the previous range end you end up with a failed breakout. This highlights a lack of commitment from participants beyond breakout traders, new traders never showed up.

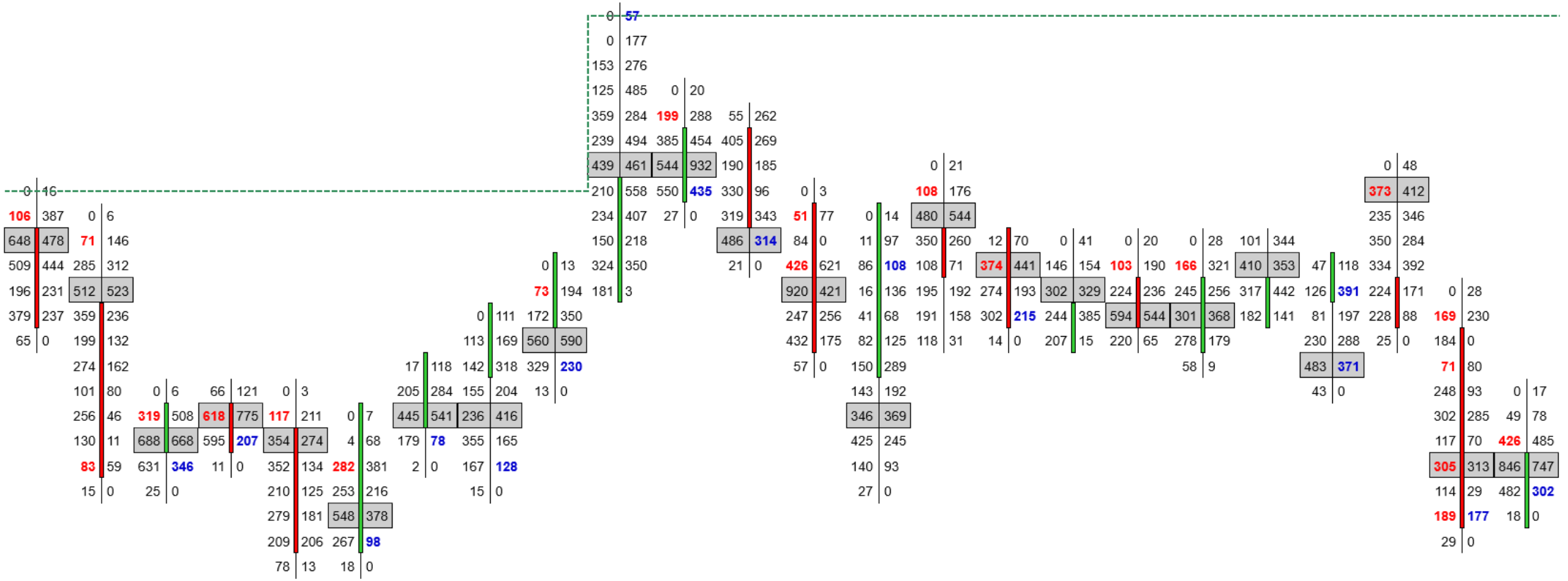
Generally, the further price moves beyond a technical level like prior support before reversing, the stronger the signal of true directional interest driving the new trend.


Order Flows Trader (ES 09-23 (1 Minute)), Current day OHL(ES 09-23 (1 Minute))
7/11/2023 14:30:00 - 7/11/2023 14:53:00
ORDERFLOWS.COM
New traders showing up.
Generally speaking, the new traders showing up at the institutional traders, the traders with big orders and big money that drive a market.
4474.25
Delta
Max. Delta
Min. Delta
Cum. Delta
Delta / Volume
Volume
© 2023 NinjaTrader, LLC
14:30
14:35
14:40
14:45
14:50

Order Flows Trader (ES 09-23 (1 Minute)), Current day OHL(ES 09-23 (1 Minute))
7/12/2023 09:32:00 - 7/12/2023 09:55:00

ORDERFLOWS.COM

New traders never showed up. After heavy volume into new highs, volume reverted back to its anemic self.



Delta	0	-572	-135	-187	-452	-224	173	328	230	1356	424	-337	-664	269	-97	-57	25	-86	113	270	355	-28	-423	-192
Max. Delta	0	180	84	21	16	55	184	360	295	1689	506	124	31	269	104	38	101	78	121	410	355	277	60	98
Min. Delta	2	-579	-150	-246	-579	-304	-56	-252	-8	-78	0	-363	-850	-399	-270	-77	-75	-131	-105	-1	-16	-36	-522	-242
Cum. Delta	0	5298	5163	4976	4524	4300	4473	4801	5031	6387	6811	6474	5810	6079	5982	5925	5950	5864	5977	6247	6602	6574	6151	5959
Delta / Volume	%	-14.31%	-4.23%	-7.81%	-16.46%	-8.89%	9.26%	12.18%	9.11%	21.93%	11.06%	-10.29%	-17.61%	8.40%	-3.23%	-3.01%	1.37%	-3.92%	5.12%	11.79%	14.95%	-0.80%	-13.95%	-5.57%
Volume	6	3998	3191	2393	2746	2520	1869	2694	2524	6184	3834	3275	3770	3203	3003	1895	1823	2196	2209	2290	2375	3510	3033	3450

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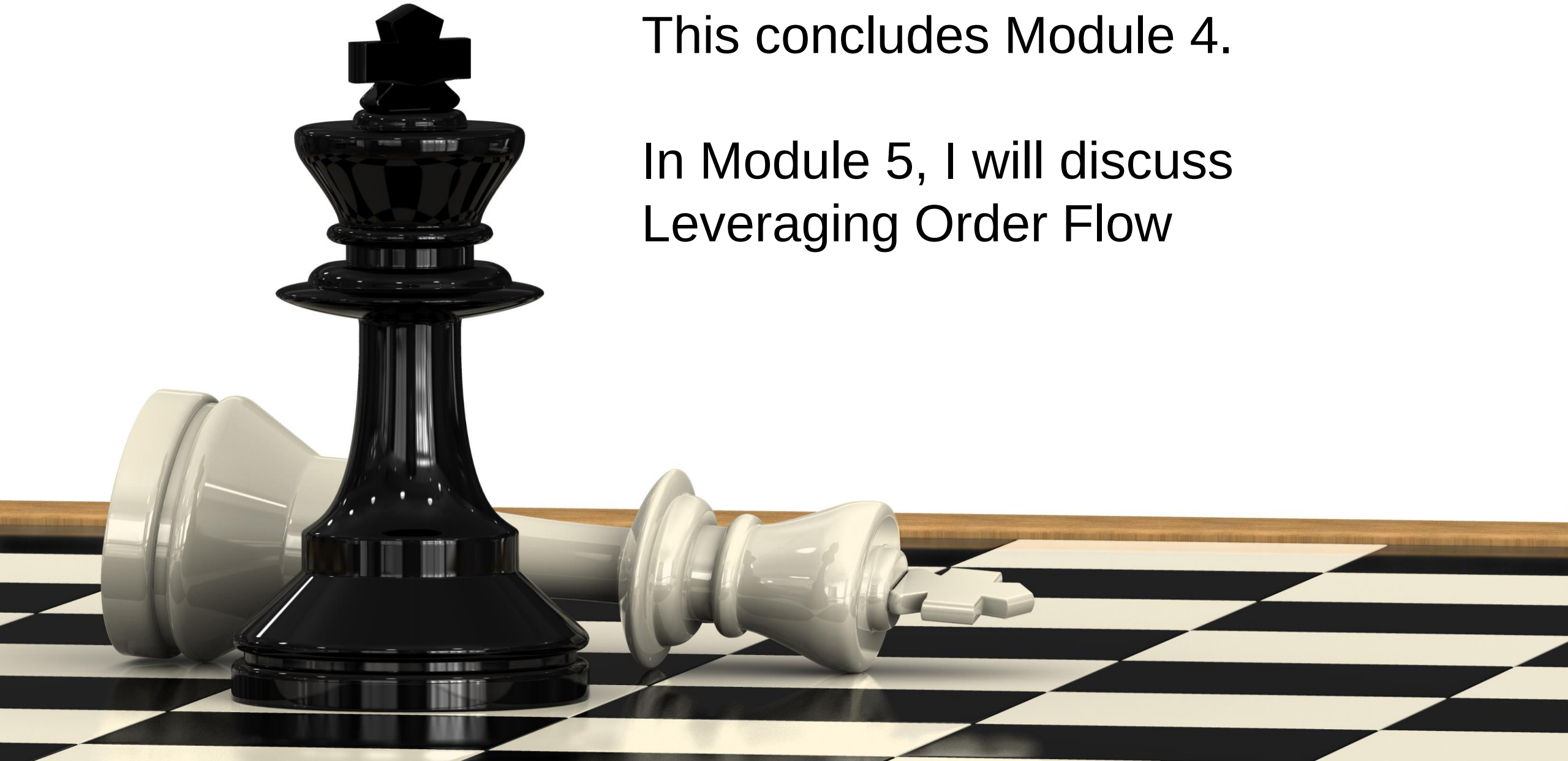
Breakouts from balanced price ranges require increased conviction. Monitor order flow volume closely following breakouts above or below established trading ranges.

Good order flow (delta, imbalances and even POC) accompanying the breakout signals commitment to the emerging trend. The presence of strong order flow (volume) provides greater probability that the breakout will continue directionally instead of failing and reversing back into the prior range.

Analyze the quality of volume relative to the average level during the balanced range (period before the breakout). Do the market participants backing the breakout display the required urgency through higher participation?

Volume, through the order flow, provides crucial clues about growing or waning momentum. Traders who recognize key volume patterns at inflection points are often better positioned for impending trend reversals.

Momentum shifts are revealed through order flow development that demonstrate changes in the psychology, participation, and conviction of market participants. Traders can detect shifts early by studying the order flow.



This concludes Module 4.

In Module 5, I will discuss Leveraging Order Flow